

GDP: Measuring Total Production and Income

ECON 101 – Principles of Macroeconomics

Muhebullah Karimzada

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- **4.1 Gross Domestic Product Measures Total Production**
- 4.2 Does GDP Measure What We Want It to Measure?
- 4.3 Real GDP versus Nominal GDP
- 4.4 Other Measures of Total Production and Total Income

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Some Important Terms in Macroeconomics

- **Business cycle:** alternating periods of economic **expansion** and **recession**.
- **Expansion:** total production and employment are **increasing**.
- **Recession:** total production and employment are **decreasing**.
- **Economic growth:** the ability of the economy to produce increasing quantities of goods and services over the long run.
- **Inflation rate:** the **percentage increase** in the price level from one year to the next.

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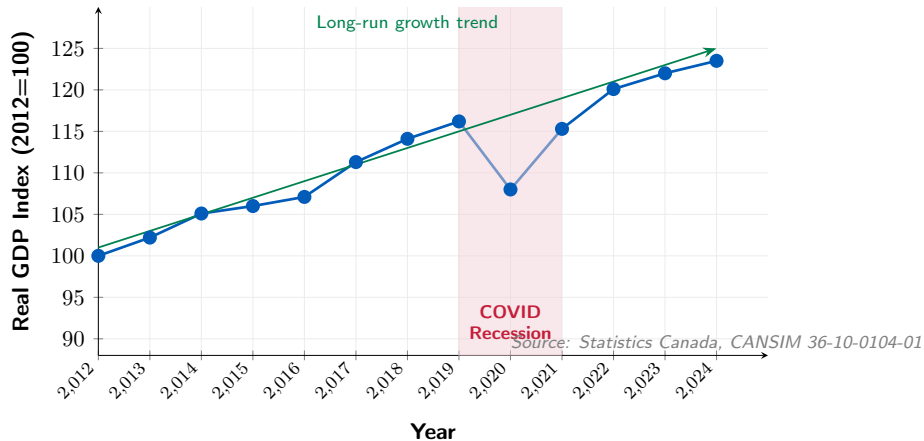
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Figure 4.0 – Canada's Real GDP: Business Cycles and Long-Run Growth



Why These Concepts Matter for GDP

- GDP is our main measure of the **size of the economy**.
- Short-run **business cycles** show up as ups and downs in real GDP.
- Long-run **economic growth** shows up as an upward trend in real GDP.
- Inflation affects **nominal** GDP, so we must distinguish it from **real** GDP.
- **Canadian fact:** Canada's nominal GDP reached $\approx \$3.0$ trillion in 2024 (Statistics Canada, CANSIM 36-10-0104-01).

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4.1 Learning Objective

Goal

Explain how total production is measured.

- **Gross domestic product (GDP):** the market value of all final goods and services produced in a country during a period of time.
- Unpacking the definition:
 - "market value" — uses prices as a common unit
 - "final goods and services" — avoids double-counting
 - "produced in a country" — location matters, not ownership
 - "during a period of time" — a flow, not a stock

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“Market Value”

- We produce many different goods: lumber, canola oil, cars, haircuts, banking services. . .
- We cannot simply add *physical quantities* — a board-foot of lumber cannot be added to a barrel of oil.
- We need a **common unit**: **money**.
- We value each good at its **market price**, giving us the **market value** of production.
- **Canadian example**: In 2024, one barrel of Western Canadian Select oil $\approx$ \$60 CAD; one tonne of potash $\approx$ \$340 CAD — very different physical units, both measured in dollars.

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Final Goods and Avoiding Double Counting

- A **final good or service** is purchased by a final user.
- **Intermediate goods and services** are inputs into other goods.
 - Example: wheat → flour → bread. GDP counts only the final bread sold to consumers.
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- **Canadian example:** Alberta crude oil refined into gasoline sold at the pump — only the final gasoline sale counts; the crude oil is an intermediate good.

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“Produced in a Country” and “During a Period of Time”

- GDP measures production within **Canada's borders**, regardless of ownership:
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 - A Loblaws store in the Bahamas $\Rightarrow$ **excluded** from Canadian GDP.
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Production = Income: Two Sides of the Same Coin

- Every dollar of production generates a dollar of **income** for someone:
 - workers receive **wages**,
 - capital owners receive **profit or interest**,
 - landowners receive **rent**.

Total Production = Total Income

- This identity underlies both the **expenditure approach** and the **income approach** to measuring GDP.

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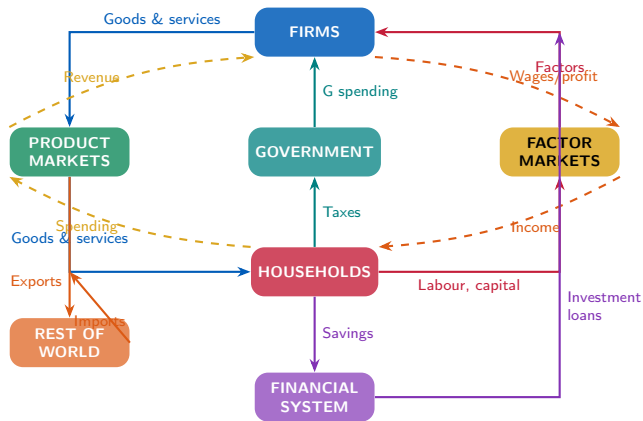
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Figure 4.1 – The Full Circular-Flow Diagram (Canada)



The Four Sectors of the Circular Flow

- **Households & Firms:** the core of every market economy — households supply factors; firms produce goods.
- **Government (G):** collects taxes; purchases goods; makes transfer payments (EI, OAS — not counted in GDP).
- **Rest of World:** exports (Canadian production sold abroad) and imports (foreign production bought in Canada). $NX = X - M$.
- **Financial System:** channels household savings to business investment and government borrowing (Bank of Canada, RBC, TD, etc.).

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Income Approach to GDP

- Statistics Canada measures GDP by tracking **incomes earned in production**.

Component	Share of GDP (2023)
Compensation of employees	≈ 51%
Wages and salaries	≈ 44%
Employers' social contributions	≈ 7%
Gross operating surplus	≈ 27%
Net operating surplus	≈ 14%
Capital consumption (depreciation)	≈ 13%
Gross mixed income (small business)	≈ 12%
Taxes less subsidies on production	≈ 10%
GDP (income approach)	100%

Source: Statistics Canada, CANSIM 36-10-0104-01 (2023 estimates)

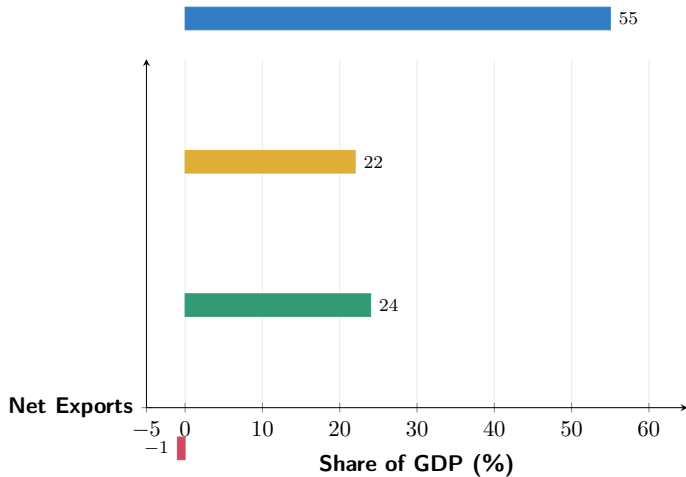
Expenditure Approach to GDP: $Y = C + I + G + NX$

- We can also measure GDP by tracking **spending** on final goods and services.

Component	Symbol	Share of GDP (2023)
Household final consumption	C	$\approx 55\%$
Government final consumption	G	$\approx 22\%$
Gross fixed capital formation (investment)	I	$\approx 24\%$
Net exports ($X - M$)	NX	$\approx -1\%$
Investment in inventories		$\approx 0\%$
GDP (expenditure approach)		100%

Source: Statistics Canada, CANSIM 36-10-0121-01 (2023)

Figure 4.2 – Components of Canadian GDP (2023)



Source: Statistics Canada, CANSIM 36-10-0121-01 (2023). Shares are approximate and rounded.

Value Added: An Alternative Way to Calculate GDP

- **Value added** at each stage of production = the firm's revenue minus the cost of intermediate inputs purchased from other firms.
- Summing value added across all firms gives total GDP.
- **Example (Canadian lumber to furniture):**
 - Timber harvester sells logs for \$200; value added = \$200.
 - Sawmill buys logs (\$200), sells lumber for \$350; value added = \$150.
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 - **Total value added = \$500 = final sale price.**

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- But it has **shortcomings** both as a measure of total production and as a measure of well-being.

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What GDP Misses: Production Gaps

- **Household production:** childcare, cooking, home repairs — if done at home, not counted in GDP; if hired out, they are counted.
 - Statistics Canada's Household Satellite Account estimates household production was worth $\approx \$460\text{B}$ (41% of GDP) in 2015.
- **Informal (shadow) economy:** unreported legal activities and illegal transactions.
 - Estimated at $\approx 13\%$ of official Canadian GDP — real value created but not captured.

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What GDP Misses: Well-Being Gaps

- Even perfect GDP misses key dimensions of well-being:
 - **Leisure:** Canadians work $\approx 1,700$ hours/year vs. the OECD average of 1,752 — leisure has real value.
 - **Pollution:** oilsands extraction raises GDP but degrades air and water quality; the cleanup cost is also GDP.
 - **Income distribution:** GDP per capita was $\approx \$57,000$ in 2023, but the Gini coefficient shows significant inequality.
 - **Crime and social problems:** more policing raises GDP even though the underlying problem is bad.

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 - **Income distribution:** GDP per capita was $\approx \$57,000$ in 2023, but the Gini coefficient shows significant inequality.
 - **Crime and social problems:** more policing raises GDP even though the underlying problem is bad.

GDP and Well-Being: The Bottom Line

- GDP is an **imperfect** but **useful** indicator:
 - Higher GDP per person is strongly correlated with higher life expectancy, education, and happiness measures.
 - Canada's GDP per capita $\approx$ \$57,000 (2023) puts it among the top 20 worldwide (World Bank).
- Alternatives being developed:
 - OECD Better Life Index (Canada ranks #5 overall, 2024).
 - Statistics Canada's Quality of Life Framework (launched 2021): 84 indicators across 5 domains.
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4.3 Learning Objective

Goal

Discuss the difference between real GDP and nominal GDP.

- GDP is measured in dollars — but dollar values change when prices change.
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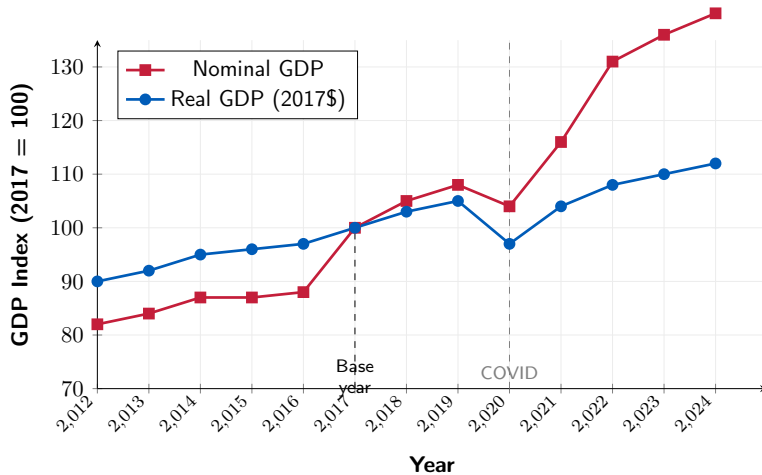
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Figure 4.3 – Nominal vs. Real GDP: Canada 2012–2024



Source: Statistics Canada, CANSIM 36-10-0104-01. Approximate index values.

Calculating Real GDP: A Simple Example

- Suppose Canada produces only two goods: lumber and canola oil.

Good	Base Year (2017)		Current Year (2023)	
	Price	Qty	Price	Qty
Lumber (Mm ³)	\$100	10	\$130	12
Canola oil (Mt)	\$500	5	\$650	6
Nominal GDP	\$3,500		\$5,460	
Real GDP (2017\$)	\$3,500		\$4,200	

- Nominal GDP overstates growth by counting higher prices.
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Interpreting Real GDP

- In the base year, real and nominal GDP are **equal by definition**.
- After the base year:
 - If prices rise: nominal GDP grows **faster** than real GDP.
 - If prices fall: nominal GDP grows **slower** than real GDP.
- Growth rates reported in the news refer to **real GDP growth**.
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The GDP Deflator

- The **GDP deflator** measures the overall price level of all final goods and services:

$$\text{GDP Deflator} = \frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$$

- In the base year: GDP Deflator = 100.

- **Canadian example:**

- 2023: Nominal GDP $\approx$ \$2,890B; Real GDP (2017\$) $\approx$ \$2,160B.

$$\text{Deflator}_{2023} = \frac{2,890}{2,160} \times 100 \approx 133.8$$

- This means the overall price level rose $\approx$ 33.8% since 2017.

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Other Measures of Total Production and Income

- Beyond GDP, national accounts construct:
 - **Gross National Income (GNI):** GDP plus net income earned by Canadians abroad minus income earned by foreigners in Canada.
 - **National Income:** GNI minus depreciation.
 - **Personal Income:** income received by households, including government transfers.
 - **Disposable Personal Income:** personal income minus taxes paid.
- **Canadian fact:** Canada's GNI is close to GDP since income flows in and out roughly balance.
- These measures are useful when studying **household budgets** and **living standards**.

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Things to Remember

- GDP counts **final** goods and services only — to avoid double-counting intermediate inputs.
- GDP measures production **within borders** — not by whom the company is owned.
- **Total production = total income** — the circular-flow identity.
- **Real GDP** removes inflation; **nominal GDP** does not — always use real for quantity comparisons.
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- **GDP** = market value of all final goods and services produced in Canada during a period.
- Measured two ways (both yield the same answer): **income approach** and **expenditure approach** ($Y = C + I + G + NX$).
- GDP omits household production ($\approx 41\%$ of GDP) and the shadow economy ($\approx 13\%$ of GDP).
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Questions?

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